

05 — AML / KYC & Compliance Controls

Describes the controls implemented in the platform plus the policy wrapper. Items marked **[policy]** are organisational processes; **[in progress]** marks controls planned but not yet fully automated. Be accurate when submitting — do not present planned controls as live.

1. Customer Due Diligence (KYC) — tiered model

Access and limits scale with the level of identity verification. Limits are enforced **server-side** on every outbound action (fail-closed on breach).

Level	Verification	Per-tx	Daily	Unlocks
0 New	Phone number only	\$50	\$100	Send (small)
1 Basic	+ full name	\$300	\$1,000	+ cross-border send
2 Verified	+ government ID (NIDA / passport / voter / licence)	\$3,000	\$10,000	+ cash agents, bank withdrawal
3 Enhanced	Admin-granted (business / high-volume)	\$25,000	\$100,000	Highest

- ID details captured at Level 2: ID type, ID number, legal name.
- A monthly limit also applies per level; usage is measured against rolling 24h + 30d **confirmed + pending** outflows so in-flight transactions cannot bypass caps.
- **ID document verification provider** integration (e.g. Smile Identity): **[in progress]** — production approvals must be gated on a real identity provider rather than auto-approval.

2. Transaction monitoring (automated)

A pre-flight risk screen runs before any value-moving transaction: - **Hard cap**: single transfers above an absolute ceiling are **blocked**. - **Review thresholds**: large amounts, high velocity (per-minute / per-hour), and new-recipient + large-amount patterns are **scored and flagged** for review (logged to a risk-review store). - **Frozen accounts** are blocked outright. - Design is fail-open on internal error (a screening bug must not block all payments) **except** the hard cap and frozen-account checks, which fail-closed.

3. Ongoing / behavioural monitoring (ops monitor, ~20-min cycle)

- **Solvency/reconciliation**: alerts if platform USDC < aggregate user liabilities.
- **Security signals**: mass account lockouts (possible credential stuffing), IPs with high failed-login counts.
- **Agent network**: low float, abnormal transaction velocity, and high failed/abandoned cash-out ratios.

- Alerts are delivered to operators (webhook + super-admin push), throttled.

4. Sanctions / PEP screening

- [in progress / policy]** — name screening against sanctions and PEP lists at onboarding and on an ongoing basis. Where the on/off-ramp partner performs screening on the fiat leg, OlomiPay relies on and supplements it. State the current provider/process here: [].

5. Record keeping

- All transactions are persisted with type, amount, status, counterparties, timestamps, and references (USDC + on-chain tx ids).
- Security events, risk reviews, admin actions, and approvals are logged.
- Retention period: **[policy]** [e.g. 7 years] per applicable law.

6. Suspicious activity reporting

- [policy]** A named **MLRO** reviews flagged activity and files STR/SAR with the relevant FIU as required. Internal flags (risk reviews, ops alerts) feed this process. MLRO: [name].

7. Account security controls (also AML-relevant)

- Lockout:** user accounts lock after 5 failed PIN attempts for 30 minutes; staff logins lock similarly. Events are logged.
- Staff governance:** role-based access control; sensitive actions (e.g. manual credits, admin sends, refunds, adding staff) require a **multi-admin approval** workflow; staff additions are department-scoped.
- Per-user transaction viewing and PDF/Excel report exports for oversight.

8. Governance & policy

- [policy]** Board/management-approved AML/CFT policy, MLRO appointment, staff AML training, periodic independent review.
- Attach the signed AML/CFT policy document alongside this technical summary.

9. Honest control-maturity summary

Control	Status
Tiered KYC + enforced limits	Live
Transaction risk screening (velocity/caps/new-recipient)	Live
Reconciliation & security/fraud monitoring + alerts	Live
Account/staff lockouts + audit logging	Live
Staff RBAC + multi-approver workflow	Live

Government-ID verification provider	In progress
Sanctions/PEP screening	In progress / policy
MLRO, STR/SAR process, formal policy & training	Policy — confirm status